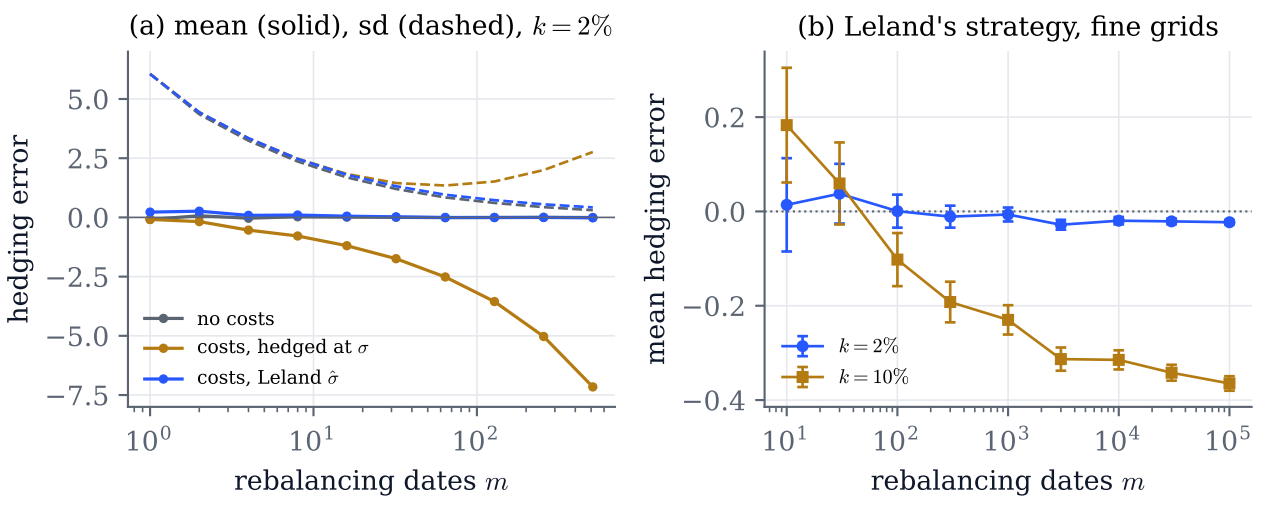
(a) mean (solid), sd (dashed), $k = 2\%$
hedging error
5.0
2.5
0.0
−2.5
−5.0
−7.5
no costs
costs, hedged at σ
costs, Leland $\hat{\sigma}$
10^0
10^1
10^2
rebalancing dates m
(b) Leland's strategy, fine grids
mean hedging error
0.2
0.0
−0.2
−0.4
$k = 2\%$
$k = 10\%$
10^1
10^2
10^3
10^4
10^5
rebalancing dates m